6.2

Business and the International Economy

Cambridge IGCSE Business

- Globalisation
- Opportunities
- Threats
- Tariffs & Quotas
- MNCs
- External Costs
- Exchange Rates

International Economy

Globalisation has transformed the trading environment. Businesses now operate in a world of international competition, multinational companies and constantly shifting exchange rates.

- Explain reasons for and effects of globalisation
- Evaluate tariffs and quotas and their effects on businesses
- Assess advantages and disadvantages of multinational companies
- Explain how exchange rate changes affect importers and exporters

Globalisation

Why the world is more connected · Opportunities and threats

Globalisation – Reasons, Opportunities and Threats

Globalisation is the process by which businesses, people and governments around the world become increasingly interconnected and interdependent through trade, investment and communication.

Reasons for Globalisation

Improved Transport

Container shipping, low-cost airlines and global logistics networks make moving goods cheaper and faster than ever

Technology

Internet, e-commerce and digital communication allow businesses to sell globally without a physical presence

Free Trade Agreements

Agreements between countries remove or reduce tariffs and quotas — making international trade cheaper and easier

Newly Industrialised Countries

Nations like China, India, Brazil — low labour costs, growing middle class — attract investment and supply global markets

Opportunities of Globalisation for Businesses

- Access to LARGER MARKETS — sell to billions of consumers worldwide
- CHEAPER INPUTS — source raw materials and labour from low-cost countries
- ECONOMIES OF SCALE — produce at higher volumes, lower unit costs
- SPREAD RISK — revenue from multiple countries reduces dependence on one economy
- TALENT — recruit the best people from anywhere in the world

Threats of Globalisation for Businesses

- INCREASED COMPETITION — foreign firms enter domestic markets with lower costs
- CULTURAL DIFFERENCES — products may need adapting for different markets
- CURRENCY RISK — exchange rate fluctuations affect import and export costs
- SUPPLY CHAIN RISK — disruption in one country affects the whole chain
- RACE TO BOTTOM — pressure to cut costs may compromise quality or ethics

Exam tip: UK businesses face both sides. They can sell globally (opportunity) but face competition from lower-cost overseas producers (threat). Always apply to the specific business in the question.

Import Tariffs and Import Quotas – Protecting Domestic Industries

Governments use trade barriers to protect domestic industries from cheaper foreign competition. Tariffs and quotas both restrict imports but work in different ways.

IMPORT TARIFF

A tax placed on imported goods

- Makes foreign goods more expensive in the domestic market
- Raises revenue for the government that imposes it
- Protects domestic producers who cannot match foreign prices
- Example: UK 25% tariff on US steel protects British steelmakers
- Example: EU tariffs on Chinese electric vehicles (2024)

IMPORT QUOTA

A limit on the quantity of imports allowed

- Limits the number of foreign goods entering the market
- Prevents domestic market being flooded with cheap imports
- Does NOT raise government revenue (unlike a tariff)
- Example: EU limits on Chinese solar panel imports
- Example: US quota on imported sugar protects US producers

Effects on businesses:

Domestic producers	Protected from cheaper foreign competition — can maintain prices and market share
Importers	Face higher costs or supply restrictions — may need to find alternative domestic suppliers
Consumers	Less choice and higher prices as competition is reduced — standard of living may fall
Exporters (retaliation)	Trading partners may impose retaliatory tariffs — export markets become harder to access

Exam tip: Tariff = tax on imports (raises cost). Quota = limit on quantity (restricts supply). Both protect domestic producers but harm consumers. Trade wars happen when countries retaliate.

Multinational Companies & Exchange Rates

MNCs · External costs · Currency changes

Multinational Companies (MNCs) – Benefits and Drawbacks

A multinational company (MNC) is a business that operates in more than one country. MNCs bring benefits to host countries but also generate significant concerns.

Why do businesses become MNCs?

- Access larger markets — sell to billions of new consumers in growing economies
- Lower production costs — labour and raw materials cheaper in developing countries
- Avoid trade barriers — produce INSIDE a market to avoid tariffs on imports
- Spread risk — if one country's economy declines, others may still be growing

Benefits to the Host Country

- Creates jobs — reduces local unemployment
- Brings investment — new factories, infrastructure
- Increases exports and tax revenue for government
- Transfers technology and skills to local workforce
- Greater product choice for local consumers

Drawbacks for the Host Country

- Repatriation of profits — money leaves the country
- Environmental damage — may exploit weaker regulations
- Exploitation of natural resources — depletes local assets
- Increased competition for local businesses — may destroy them
- Low wages / poor conditions compared to home country standards

Exam tip: Repatriation of profits = profits are sent back to the MNC's home country rather than being reinvested in the host country. This is a major concern for developing nations.

Exchange Rates – Effects on Importers and Exporters

An exchange rate is the price of one currency in terms of another. When exchange rates change, businesses that import or export are directly affected through their costs and revenues.

Exchange Rate Changes — Effect on Importers and Exporters

APPRECIATION (£ rises in value)

e.g. £1 = $1.20 rises to £1 = $1.50

IMPORTERS ✓	Imports CHEAPER — raw materials and components cost less
IMPORTERS ✓	Lower costs → higher profit margins or lower prices for customers
EXPORTERS ✗	UK exports DEARER in foreign markets — less competitive
EXPORTERS ✗	Foreign buyers switch to cheaper alternatives — sales fall

DEPRECIATION (£ falls in value)

e.g. £1 = $1.50 falls to £1 = $1.20

EXPORTERS ✓	UK exports CHEAPER abroad — more competitive pricing
EXPORTERS ✓	Foreign buyers buy more UK goods — export revenue rises
IMPORTERS ✗	Imports MORE EXPENSIVE — raw material costs rise
IMPORTERS ✗	Higher costs → squeezed margins or higher prices charged

Worked examples — Jaguar Land Rover (UK exporter to USA):

Scenario	Exchange rate	JLR sells car at £50,000 → USD price	Effect on JLR
£ appreciates	£1 = $1.60	£50,000 = $80,000 (more expensive in USA)	Fewer US sales · less competitive · revenue falls
£ depreciates	£1 = $1.20	£50,000 = $60,000 (cheaper in USA)	More US sales · more competitive · revenue rises

External costs and benefits of business decisions:

External cost — A cost suffered by a THIRD PARTY not involved in the transaction (e.g. pollution affecting local residents)

External benefit — A benefit received by a THIRD PARTY not involved in the transaction (e.g. new road improves local access)

Exam tip: Depreciation HELPS exporters (their goods become cheaper abroad) but HURTS importers (their raw materials cost more). Appreciation is the OPPOSITE — always think about which side the business is on.

Key Revision Checklist – 6.2 International Economy

Globalisation	World becoming more interconnected through transport, technology, free trade agreements and newly industrialised countries
Opportunities	Larger markets, cheaper inputs, economies of scale, risk spread across countries, access to global talent
Threats	More competition from lower-cost foreign firms, currency risk, cultural differences, supply chain disruption
Tariff	Tax on imported goods. Makes imports more expensive. Protects domestic producers. Raises government revenue.
Quota	Limit on quantity of imports. Protects domestic producers. Does NOT raise revenue. Reduces consumer choice.
MNC advantages	Creates jobs, brings investment, increases exports, transfers technology and skills to host country
MNC disadvantages	Profits repatriated, environmental damage, exploitation of resources, local firms outcompeted
Appreciation	£ rises: exports dearer (bad for exporters), imports cheaper (good for importers)
Depreciation	£ falls: exports cheaper (good for exporters), imports dearer (bad for importers)